one published a high list price and then provided heavy discounts to "favored" corporate clients who bought in bulk. Naturally, every salesperson was encouraged to make all of his or her clients feel favored. Unfortunately, the published list price was much too high for the consumer segment.

The team in charge of growing the consumer segment wanted to run experiments with a lower price structure. The team in charge of the enterprise segment was nervous that this would cannibalize or otherwise diminish its existing relationships with its customers. What if those customers discovered that individuals were getting a lower price than they were?

Anyone who has been in a multisegment business will recognize that there are many possible solutions to this problem, such as creating tiered feature sets so that different customers are able to purchase different "levels" of the product (as in airline seating) or even supporting different products under separate brand names. Yet the company was struggling to implement any of those solutions. Why? Out of fear of endangering the current business, each proposed experiment would be delayed, sabotaged, and obfuscated.

It's important to emphasize that this fear is well founded. Sabotage is a rational response from managers whose territory is threatened. This company is not a random, tiny startup with nothing to lose. An established company has a lot to lose. If the revenue from the core business goes down, heads will roll. This is not something to be taken lightly.

The Dangers of Hiding Innovation inside the Black Box

The imperative to innovate is unrelenting. Without the ability to experiment in a more agile manner, this company eventually would suffer the fate described in The Innovator's Dilemma: ever-higher profits and margins year after year until the business suddenly collapsed.

We often frame internal innovation challenges by asking, How can we protect the internal startup from the parent organization? I